Reporting requirements and ownership

The national and European Union requirements include national legislation and European Union directives and regulations applicable to financial statements. They are documented in the Finance Manual. The financial reporting process is governed by the company's regulatory system, and Finance updates instructions for regulatory changes.

The Chief Financial Officer is accountable for the reporting process. The Group Control function is formally identified to manage and monitor financial-reporting risks. The Group Controller coordinates consolidation, business controllers certify submissions, and control owners retain evidence.

The closing calendar assigns responsibilities and deadlines for reporting packages, reconciliations, consolidation entries, review, and final approval. Accuracy controls are formally assigned to the involved personnel and functions.

Risk assessment and control activities

Finance performs an annual reporting risk assessment covering significant accounts, estimates, unusual transactions, consolidation steps, and disclosure requirements. Risks are rated using likelihood and potential financial statement impact.

The assessment links each material risk to documented controls such as account reconciliations, journal approval, analytical review, access review, and management sign-off. Each control has an owner, frequency, and expected evidence. Documented guidelines govern internal controls over financial reporting.

Training initiatives are planned for personnel, including annual sessions on closing responsibilities, policy updates, documentation quality, and the escalation of suspected errors.

Monitoring, audit, and remedies

The Group Control team monitors completion of key controls during each close and performs sample reviews of supporting evidence. Missing or ineffective controls are logged with the responsible owner and a target date. Monitoring assesses control effectiveness and defines improvement initiatives.

Independent functions periodically monitor the adequacy and correct operation of controls, including Internal Audit and Group Control. The external auditor verifies annual financial reporting and communicates material observations.

A confirmed deficiency requires a remedial action proportionate to its impact. Finance verifies completion, retests significant changes, and escalates overdue actions. Disciplinary measures and contractual remedies apply to financial-control violations.

Board information and follow-up

The Chief Financial Officer prepares a Board information pack for approval of the annual financial statements. It summarizes significant accounting judgments, reporting risks, control deficiencies, audit observations, and the status of remedial work.

The Audit and Control Committee reviews the pack with Finance, Internal Audit, and the external auditor before making a recommendation to the Board. Periodic information flows go to the Board, Audit and Control Committee, and Executive Committee. Questions and follow-up are recorded in the minutes.

Finance assigns requested actions to accountable owners and reports closure evidence to the committee. Material corrections are reflected in the final statements before Board approval.